income taxes on a more prosperous financial sector may misleadingly suggest a country's fiscal house is in order, even while low-risk premia on sovereign debt add to the sense of calm. At the same time, an appreciating nominal exchange rate may also keep down inflation.

The difficulty of distinguishing the cyclical from the structural is exacerbated in some emerging markets where policy commitment is weaker, and the willingness to succumb to the siren calls of populist policy greater. But it would be a mistake to think that pro-cyclical policy in the face of capital inflows is primarily a disease of the poor; Even rich recipient countries with strong institutions, such as Ireland and Spain, have not been immune to capital-flow-induced fragility.

Ideally, recipient countries would wish for stable capital inflows, and not flows pushed in by unconventional policy. Once unconventional policies are in place, however, they do recognize the problems stemming from prolonged easy money, and thus the need for source countries to exit. But when source countries move to exit unconventional policies, some recipient countries are leveraged, imbalanced, and vulnerable to capital outflows. Given that investment managers anticipate the consequences of the future policy path, even a measured pace of exit may cause severe market turbulence and collateral damage. Indeed, the more transparent and well-communicated the exit is, the more certain the foreign investment managers may be of changed conditions, and the more rapid their exit from risky positions.

Recipient countries are not being irrational when they protest both the initiation of unconventional policy as well as an exit whose pace is driven solely by conditions in the source country. Having become more vulnerable because of leverage and crowding, recipient countries may call for an exit whose pace and timing is responsive, at least in part, to conditions they face.